

# HORIZON NATIONAL BANK

## Personal Loan Policy 2026

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### 1. Purpose and Scope

This policy governs unsecured personal loans extended to salaried and self-employed individuals for permitted end uses. Personal loans may not be used for speculative investment, capital market trading, or as margin for other credit facilities.

Permitted end uses include medical expenditure, education expenses, marriage, travel, home renovation not secured by mortgage, and consolidation of existing higher-cost debt.

### 2. Applicant Eligibility

- Minimum age at application: 23 years. Maximum age at maturity: 60 years.
- The applicant must be a resident Indian citizen with a completed KYC record.
- Existing customers with a minimum 6 month relationship receive preferential pricing.

A maximum of two personal loans may be outstanding to the same borrower at any time, with aggregate exposure not exceeding the limit in Clause 5.

### 3. Employment Eligibility

The applicant must have at least 2 years of total employment history, of which a minimum of 1 year must be with the current employer or in the current business.

Applicants employed on a contractual or probationary basis are not eligible.

Employment with an employer appearing on the bank's negative or caution list is not eligible regardless of tenure.

### 4. Income Criteria

- Minimum net monthly income: INR 30,000 in metro locations and INR 25,000 elsewhere.
- FOIR inclusive of the proposed EMI must not exceed 55 percent of net monthly income.

Salary must be credited to a bank account and evidenced by statements for the preceding six months. Cash salary is not acceptable.

### 5. Loan Amount and Tenure

- Minimum loan amount: INR 50,000. Maximum loan amount: INR 40,00,000.
- Maximum tenure: 7 years.
- The maximum sanctioned amount must not exceed 20 times the net monthly income.

### 6. Required Documents

The following documents are required for a personal loan application:

- Identity proof (PAN card mandatory).
- Address proof.
- Income proof: latest 3 months salary slips, or income tax returns for the last 2 assessment years for self-employed applicants.
- Bank statements for the preceding 6 months.
- Employment proof or business registration certificate.

Property documents are not required for personal loans as the facility is unsecured.

## **7. Credit Assessment**

A minimum credit bureau score of 720 is required for unsecured exposure. No deviation is permitted below a score of 690.

Aggregate unsecured exposure across all lenders must not exceed 12 times the applicant's net monthly income after the proposed loan.

## **8. Charges and Foreclosure**

- Processing fee: up to 2 percent of the sanctioned amount plus applicable taxes.
- Foreclosure is permitted after 12 EMIs at a charge of 4 percent of the outstanding principal.
- Late payment charge: 2 percent per month on the overdue instalment.

All charges must be disclosed in the Key Facts Statement provided before acceptance of the offer.

## **9. Human Review**

AI assisted eligibility screening is permitted for indicative assessment only. All sanctions and rejections require authorisation by a credit officer.

Rejection reasons must be communicated to the applicant in writing within 7 working days of the decision.

## **10. Turnaround Time**

- Acknowledgement of application: same working day.
- Credit decision after receipt of complete documents: 3 working days.
- Disbursement after acceptance of the sanction letter: 1 working day.

End of Personal Loan Policy 2026. This document supersedes all prior versions. Queries to Retail Credit Department.